KCB GROUP PLC
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2022

	KCB KENYA BANK				NATIONAL BANK OF KENYA				KCB GROUP PLC COMPANY				KCB GROUP PLC CONSOLIDATED			
	30-Jun-22 Kshs 000 Un-audited	31-Mar-22 Kshs 000 Un-audited	31-Dec-21 Kshs 000 Audited	30-Jun-21 Kshs 000 Un-audited	30-Jun-22 Kshs 000 Un-audited	31-Mar-22 Kshs 000 Un-audited	31-Dec-21 Kshs 000 Audited	30-Jun-21 Kshs 000 Un-audited	30-Jun-22 Kshs 000 Un-audited	31-Mar-22 Kshs 000 Un-audited	31-Dec-21 Kshs 000 Audited	30-Jun-21 Kshs 000 Un-audited	30-Jun-22 Kshs 000 Un-audited	31-Mar-22 Kshs 000 Un-audited	31-Dec-21 Kshs 000 Audited	30-Jun-21 Kshs 000 Un-audited
I. STATEMENT OF FINANCIAL POSITION																
A. ASSETS																
1. Cash (both Local & Foreign)	6,737,958	8,528,043	9,372,477	7,078,197	1,025,598	1,091,995	1,250,983	940,995	-	-	-	-	15,355,954	18,647,891	17,834,897	14,393,282
2. Balances due from Central Bank of Kenya	31,537,378	22,427,593	27,674,664	44,807,278	3,854,871	3,378,494	7,722,963	4,081,795	-	-	-	-	35,392,249	25,806,087	35,397,627	48,889,073
3. Kenya Government and other securities held for dealing purposes	2,146,352	2,577,572	2,583,083	-	-	-	-	-	-	-	-	-	7,130,112	7,365,423	5,462,059	-
4. Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. Investment securities:																
a) Held at armotized cost: a. Kenya Government securities	111,436,114	99,784,029	88,570,009	72,359,602	25,983,415	33,126,102	33,049,950	33,356,840	-	-	-	-	137,921,025	133,408,701	122,014,917	106,067,077
b. Other securities	-	-	-	-	294,984	303,831	295,081	-	-	-	-	-	9,326,884	9,484,978	9,111,638	11,293,433
b) Fair value through OCI: a. Kenya Government securities	88,107,155	91,405,803	94,334,482	70,731,155	19,563,681	18,193,460	20,024,351	17,696,797	-	-	-	-	108,330,195	110,237,643	114,969,878	89,011,282
b. Other securities	2,064,375	2,126,118	2,065,054	-	-	-	-	-	-	-	-	-	22,265,848	21,311,556	24,733,874	6,668,276
6. Deposits and balances due from local banking institutions	2,181,428	2,645,218	4,046,727	5,847,046	4,053,430	1,352,457	1,852,529	1,352,368	-	-	-	-	5,763,232	3,997,675	1,852,529	7,199,414
7. Deposits and balances due from banking institutions abroad	13,547,574	7,404,906	4,317,828	13,423,354	975,532	946,746	496,359	2,622,821	-	-	-	-	44,828,200	36,724,170	43,169,681	45,349,403
8. Tax recoverable	194,730	-	-	-	-	-	-	295,415	102,106	92,517	93,053	-	107,218	-	-	-
9. Loans and advances to customers (net)	563,188,212	551,160,564	529,280,381	497,927,674	68,958,047	67,470,096	67,045,738	60,376,595	-	-	-	-	730,335,492	704,366,078	675,480,444	606,967,409
10. Balances due from group companies	5,412,330	4,834,579	4,303,501	1,911,824	-	-	-	-	1,404,799	3,508,306	2,316,966	4,098,375	-	-	-	-
11. Investments in associates	400,253	400,253	401,675	600,000	570,008	682,051	649,876	670,824	-	-	-	-	400,253	400,254	401,675	1,270,824
12. Investments in subsidiary companies	-	-	-	-	24,963	24,963	24,963	24,963	89,158,501	87,963,501	87,963,501	79,661,797	-	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14. Investment properties	10,227,387	10,227,387	10,227,387	11,137,000	-	-	-	-	-	-	-	-	10,666,421	10,666,255	10,666,255	11,137,000
15. Property and equipment	9,705,182	9,815,944	9,806,117	9,188,711	3,977,222	3,967,622	4,119,087	4,076,935	819,446	822,035	614,434	613,219	21,631,098	21,705,496	21,733,983	18,180,756
16. Prepaid lease rentals	118,275	118,899	119,523	120,772	-	-	-	-	-	-	-	-	123,579	124,215	121,389	118,767
17. Intangible assets	3,965,277	4,160,335	3,771,158	4,023,087	485,284	555,525	612,378	634,903	4,558	5,065	5,571	6,584	7,112,689	7,366,736	7,010,170	5,081,917
18. Deferred tax asset	19,882,401	19,237,528	18,473,135	15,940,264	3,841,789	3,384,397	3,317,439	2,826,975	81,690	44,703	-	1,999	24,254,069	22,982,095	22,381,701	19,403,782
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20. Other assets	16,987,987	21,625,181	17,047,723	24,786,290	5,397,800	6,021,806	6,081,608	4,675,744	43,507	60,764	3,703	47,748	29,163,018	32,313,157	27,329,848	31,121,316
21. TOTAL ASSETS	**887,840,368**	**858,479,952**	**826,394,924**	**779,882,254**	**139,006,624**	**140,499,545**	**146,543,305**	**133,633,970**	**91,614,607**	**92,496,891**	**90,997,228**	**84,429,722**	**1,210,107,536**	**1,166,908,410**	**1,139,672,565**	**1,022,153,011**
B. LIABILITIES																
22. Balances due to Central Bank of Kenya	-	7,994,240	-	-	-	6,995,020	3,496,740	-	-	-	-	-	-	14,989,260	3,496,740	-
23. Customer deposits	674,828,828	631,128,521	624,480,440	601,680,391	112,456,059	98,656,380	106,103,099	99,913,441	-	-	-	-	908,573,107	845,817,474	837,141,376	786,035,101
24. Deposits and balances due to local banking institutions	5,240,432	9,474,922	3,717,079	3,035,488	2,341,580	9,905,645	10,554,365	7,485,321	-	-	-	-	6,287,472	19,211,284	10,032,709	7,617,580
25. Deposits and balances due to foreign banking institutions	11,668,798	8,826,476	6,060,540	753,273	4,769,203	5,462,230	7,455,621	7,712,427	-	-	-	-	29,484,193	26,081,695	34,287,432	7,388,428
26. Other money market deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
27. Borrowed funds	35,656,075	33,314,599	33,621,640	33,191,221	-	-	-	3,237,000	-	-	-	-	40,244,123	37,843,109	37,561,033	35,042,011
28. Balances due to group companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
29. Tax payable	-	9,094,891	5,287,663	1,920,732	178,799	284,351	215,227	-	-	-	-	122,095	-	9,415,579	5,644,087	2,323,292
30. Dividends payable	3,588,745	4,858,749	5,938,471	-	274	274	274	5,681	5,156,922	-	-	-	5,156,922	-	-	-
31. Deferred tax liability	-	-	-	-	-	-	-	-	-	-	7,007	-	655,000	655,000	655,000	-
32. Retirement benefit liability	458,000	458,000	458,000	177,000	-	-	-	-	-	-	-	-	458,000	458,000	458,000	177,000
33. Other liabilities	23,213,938	27,534,923	23,007,626	23,923,622	3,028,624	2,812,303	2,353,257	2,634,480	309,325	617,866	605,261	122,842	37,498,979	28,713,957	36,888,581	30,649,993
34. TOTAL LIABILITIES	**754,654,816**	**732,685,321**	**702,571,459**	**664,681,727**	**122,774,539**	**124,116,203**	**130,178,583**	**120,988,350**	**5,466,247**	**617,866**	**612,268**	**244,937**	**1,028,357,796**	**983,185,358**	**966,164,958**	**869,233,405**
C. SHAREHOLDERS' FUNDS																
35. Paid up /Assigned capital	53,986,100	53,986,100	53,986,100	53,986,100	12,683,038	12,683,038	12,683,038	12,368,906	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463
36. Share premium/(discount)	-	-	-	-	3,141,319	3,141,319	3,141,319	-	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149
37. Revaluation reserves	-	-	-	-	1,200,558	1,200,558	1,200,558	1,225,905	-	-	-	-	1,200,558	1,200,558	1,200,558	1,225,905
38. Retained earnings / (Accumulated losses)	71,187,666	69,859,150	60,677,534	61,439,719	(5,192,523)	(5,121,889)	(5,190,271)	(5,671,226)	55,244,748	54,548,487	49,840,959	53,281,173	143,548,168	146,104,167	131,577,505	126,482,898
39. Statutory loan loss reserve	11,352,378	4,435,113	5,346,700	-	5,184,560	4,789,033	4,520,549	4,590,726	-	-	-	-	14,570,306	7,372,172	7,958,694	3,795,390
40. Other Reserves/Re-measurement of defined benefit asset/liability	(3,340,592)	(2,485,732)	(1,045,618)	(225,292)	(784,867)	(308,717)	9,529	131,309	-	-	-	-	(11,109,399)	(10,174,046)	(9,567,560)	(9,488,199)
41. Proposed dividends	-	-	4,858,749	-	-	-	-	-	-	6,426,926	9,640,389	-	-	6,426,926	9,640,389	-
42. Capital grants	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	**133,185,552**	**125,794,631**	**123,823,465**	**115,200,527**	**16,232,085**	**16,383,342**	**16,364,722**	**12,645,620**	**86,148,360**	**91,879,025**	**90,384,960**	**84,184,785**	**179,113,245**	**181,833,389**	**171,713,198**	**152,919,606**
44. Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	2,636,495	1,889,663	1,794,409	-
45. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**887,840,368**	**858,479,952**	**826,394,924**	**779,882,254**	**139,006,624**	**140,499,545**	**146,543,305**	**133,633,970**	**91,614,607**	**92,496,891**	**90,997,228**	**84,429,722**	**1,210,107,536**	**1,166,908,410**	**1,139,672,565**	**1,022,153,011**
II. STATEMENT OF COMPREHENSIVE INCOME																
1. INTEREST INCOME																
1.1 Loans and advances	28,576,896	14,283,620	59,273,049	28,236,791	3,865,030	1,702,206	6,301,436	2,999,930	-	-	140,487	-	38,377,127	18,799,438	73,973,640	34,495,165
1.2 Government securities	11,215,286	5,264,090	17,896,923	8,212,578	2,881,276	1,496,467	5,761,130	2,752,188	-	-	-	-	15,866,735	7,658,863	26,535,032	12,069,926
1.3 Deposits and placements with banking institutions	72,414	50,364	1,194,727	374,300	31,249	22,174	170,981	60,950	7,977	1,788	16,662	53,349	295,079	169,340	1,648,557	552,905
1.4 Other Interest Income	-	-	-	-	17,610	8,749	6,221	-	-	-	-	-	-	-	-	-
1.5 Total interest income	**39,864,596**	**19,598,074**	**78,364,699**	**36,823,669**	**6,795,165**	**3,229,596**	**12,239,768**	**5,813,068**	**7,977**	**1,788**	**157,149**	**53,349**	**54,538,941**	**26,627,641**	**102,157,229**	**47,117,996**
2. INTEREST EXPENSE																
2.1 Customer deposits	8,066,785	4,005,233	14,665,787	6,654,627	1,506,859	739,857	2,941,403	1,357,121	-	-	-	-	11,545,418	5,734,751	20,495,296	9,163,366
2.2 Deposits and placement from banking institutions	1,303,699	570,879	1,819,184	889,627	420,945	261,740	687,169	305,219	-	-	-	-	2,136,625	1,045,933	3,448,141	1,538,370
2.3 Other interest expenses	172,858	85,794	373,643	-	78,190	43,220	347,976	83,860	-	-	-	-	265,368	107,141	519,776	-
2.4 Total interest expenses	**9,543,342**	**4,661,906**	**16,858,614**	**7,544,254**	**2,005,994**	**1,044,817**	**3,976,548**	**1,746,200**	**-**	**-**	**-**	**-**	**13,947,411**	**6,887,825**	**24,463,213**	**10,701,736**
3. NET INTEREST INCOME/(LOSS)	**30,321,254**	**14,936,168**	**61,506,085**	**29,279,415**	**4,789,171**	**2,184,779**	**8,263,220**	**4,066,868**	**7,977**	**1,788**	**157,149**	**53,349**	**40,591,530**	**19,739,816**	**77,694,016**	**36,416,260**
4. OTHER OPERATING INCOME																
4.1 Fees and commissions on loans and advances	4,740,198	2,319,803	8,278,303	3,720,881	157,736	68,572	84,686	50,426	-	-	32,385	-	5,305,574	2,573,801	8,820,394	3,992,559
4.2 Other fees and commissions	3,707,715	2,053,377	6,648,903	3,264,389	316,902	182,497	691,150	512,439	-	-	-	-	6,119,235	3,349,111	10,564,740	5,194,690
4.3 Foreign exchange trading income	3,615,605	1,184,287	3,951,977	1,586,789	401,436	120,605	666,907	285,054	6,339	2,333	51,613	28,924	4,932,635	1,739,501	6,546,206	2,717,979
4.4 Dividend Income	-	-	-	-	-	-	100,021	28,500	5,716,749	4,858,749	15,688,218	9,749,747	-	-	-	-
4.5 Other income	2,055,787	1,234,746	3,399,876	1,842,580	98,234	110,731	305,043	200,889	333,866	128,495	1,154,508	392,817	2,858,172	1,629,160	5,009,251	2,888,409
4.6 Total other operating income	**14,119,305**	**6,792,213**	**22,279,059**	**10,414,639**	**974,308**	**482,405**	**1,847,807**	**1,077,308**	**6,056,954**	**4,989,577**	**16,926,724**	**10,171,488**	**19,215,616**	**9,291,573**	**30,940,591**	**14,793,637**
5. TOTAL OPERATING INCOME	**44,440,559**	**21,728,381**	**83,785,144**	**39,694,054**	**5,763,479**	**2,667,184**	**10,111,027**	**5,144,176**	**6,064,931**	**4,991,365**	**17,083,873**	**10,224,837**	**59,807,146**	**29,031,389**	**108,634,607**	**51,209,897**
6. OTHER OPERATING EXPENSES																
6.1 Loan loss provision	3,287,594	1,701,574	10,702,886	5,860,842	563,400	221,107	1,014,004	297,367	-	-	-	-	4,318,678	2,075,384	12,988,101	6,583,174
6.2 Staff costs	8,818,995	4,310,870	16,915,986	8,247,597	2,424,784	1,095,477	4,266,885	2,147,727	504,346	237,970	1,044,027	303,723	14,091,422	6,786,780	24,729,046	12,125,336
6.3 Directors' emoluments	289,618	143,362	542,156	271,073	13,788	6,469	26,719	12,282	42,290	17,202	46,920	24,474	371,660	171,112	597,594	298,797
6.4 Rental charges	104,014	69,035	159,150	108,860	111,023	34,682	141,700	88,692	-	-	-	-	299,018	197,835	351,110	246,398
6.5 Depreciation charge on property and equipment	1,082,785	537,866	2,145,492	1,058,030	316,822	166,332	762,341	328,414	7,491	3,715	13,669	6,686	1,967,867	955,847	3,856,739	1,749,274
6.6 Amortisation charges	760,219	375,466	1,630,771	863,402	162,542	82,337	364,429	192,934	1,013	506	2,026	1,013	1,067,820	513,868	2,170,842	1,123,996
6.7 Other operating expenses	6,254,926	2,776,811	11,185,470	4,522,001	1,206,971	581,308	2,147,992	1,055,062	193,430	71,310	447,212	442,525	9,512,285	4,298,485	16,126,871	7,167,270
6.8 Total other operating expenses	**20,598,151**	**9,914,984**	**43,281,911**	**20,931,805**	**4,799,330**	**2,187,712**	**8,724,070**	**4,122,478**	**748,570**	**330,703**	**1,553,854**	**778,421**	**31,628,750**	**14,999,311**	**60,820,303**	**29,294,245**
7. Profit/(loss) before tax and exceptional items	**23,842,408**	**11,813,397**	**40,503,233**	**18,762,249**	**964,149**	**479,472**	**1,386,957**	**1,021,698**	**5,316,361**	**4,660,662**	**15,530,019**	**9,446,416**	**28,178,396**	**14,032,078**	**47,814,304**	**21,915,652**

KCB GROUP PLC
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2022

	KCB KENYA BANK				NATIONAL BANK OF KENYA				KCB GROUP PLC COMPANY				KCB GROUP PLC CONSOLIDATED			
II. STATEMENT OF COMPREHENSIVE INCOME	**30-Jun-22 Kshs 000 Un-audited**	**31-Mar-22 Kshs 000 Un-audited**	**31-Dec-21 Kshs 000 Audited**	**30-Jun-21 Kshs 000 Un-audited**	**30-Jun-22 Kshs 000 Un-audited**	**31-Mar-22 Kshs 000 Un-audited**	**31-Dec-21 Kshs 000 Audited**	**30-Jun-21 Kshs 000 Un-audited**	**30-Jun-22 Kshs 000 Un-audited**	**31-Mar-22 Kshs 000 Un-audited**	**31-Dec-21 Kshs 000 Audited**	**30-Jun-21 Kshs 000 Un-audited**	**30-Jun-22 Kshs 000 Un-audited**	**31-Mar-22 Kshs 000 Un-audited**	**31-Dec-21 Kshs 000 Audited**	**30-Jun-21 Kshs 000 Un-audited**
8. Exceptional items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9. Profit/(loss) after exceptional items	**23,842,408**	**11,813,397**	**40,503,233**	**18,762,249**	**964,149**	**479,472**	**1,386,957**	**1,021,698**	**5,316,361**	**4,660,662**	**15,530,019**	**9,446,416**	**28,178,396**	**14,032,078**	**47,814,304**	**21,915,652**
10. Current tax	(8,082,910)	(3,807,407)	(16,203,222)	(7,705,414)	(487,812)	(73,174)	(531,628)	(14,381)	(1,220)	(4,792)	(22,289)	(147,868)	(9,600,361)	(4,439,490)	(18,416,884)	(8,509,255)
11. Deferred tax	757,837	264,040	4,289,120	2,150,560	185,420	(69,433)	162,261	(289,696)	88,697	51,710	3,145	12,151	1,068,596	263,814	4,775,023	1,894,518
12. Profit/(loss) after tax and exceptional items	**16,517,335**	**8,270,030**	**28,589,131**	**13,207,395**	**661,757**	**336,865**	**1,017,590**	**717,621**	**5,403,838**	**4,707,580**	**15,510,875**	**9,310,699**	**19,646,631**	**9,856,402**	**34,172,443**	**15,300,915**
13. Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	124,848	67,508	81,394	-
14. Profit/(loss) after tax and exceptional items and Minority Interest	**16,517,335**	**8,270,030**	**28,589,131**	**13,207,395**	**661,757**	**336,865**	**1,017,590**	**717,621**	**5,403,838**	**4,707,580**	**15,510,875**	**9,310,699**	**19,521,783**	**9,788,894**	**34,091,049**	**15,300,915**
15. Other Comprehensive income:																
15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	2,622,412	340,296	(638,000)	(1,707,271)
15.2 Fair value changes in available-for-sale financial assets	(3,275,679)	(1,667,844)	(896,372)	(142,477)	(1,129,767)	(454,637)	(62,663)	54,073	-	-	-	-	(2,860,519)	(1,352,546)	(898,571)	159,493
15.3 Re-measurement of defined benefit pension fund	-	-	(418,000)	-	-	-	-	-	-	-	-	-	-	-	(418,000)	-
15.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15.5 Income tax relating to components of other comprehensive income	982,704	500,353	394,312	42,743	337,372	136,391	18,799	(16,222)	-	-	-	-	858,156	405,764	394,571	(47,848)
16. Other comprehensive income for the year net of tax	**(2,292,975)**	**(1,167,491)**	**(920,060)**	**(99,734)**	**(792,395)**	**(318,246)**	**(43,864)**	**37,851**	**-**	**-**	**-**	**-**	**620,049**	**(606,486)**	**(1,560,000)**	**(1,595,626)**
17. Total comprehensive income for the year	**14,224,360**	**7,102,539**	**27,669,071**	**13,107,661**	**(130,638)**	**18,619**	**973,726**	**755,472**	**5,403,838**	**4,707,580**	**15,510,875**	**9,310,699**	**20,266,680**	**9,249,916**	**32,612,443**	**13,705,289**
18. EARNINGS PER SHARE- DILUTED & BASIC KSHS	**0.61**	**0.61**	**0.53**	**0.49**	**0.10**	**0.11**	**0.08**	**0.12**	**3.36**	**5.86**	**4.83**	**5.79**	**12.15**	**12.18**	**10.61**	**9.52**
19. DIVIDEND PER SHARE - DECLARED KSHS	**-**	**-**	**0.20**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**3.00**	**-**
III. OTHER DISCLOSURES																
1. NON-PERFORMING LOANS AND ADVANCES																
a) Gross Non-performing loans and advances	141,106,429	98,913,323	92,193,441	65,021,737	28,127,214	27,716,118	26,541,854	27,447,135					173,428,079	130,947,239	122,850,349	95,732,747
b) Less Interest in Suspense	9,617,156	8,561,371	7,693,505	7,237,473	4,301,810	4,545,759	4,391,263	4,548,725					14,396,370	13,506,617	12,720,069	12,148,304
c) Total Non-Performing Loans and Advances (a-b)	**131,489,273**	**90,351,952**	**84,499,936**	**57,784,264**	**23,825,404**	**23,170,359**	**22,150,591**	**22,898,410**					**159,031,709**	**117,440,622**	**110,130,280**	**83,584,443**
d) Less Loan Loss Provision	49,794,507	41,315,519	38,766,900	33,150,242	12,747,318	12,260,564	11,782,093	12,098,852					65,076,186	55,439,476	52,307,984	46,798,263
e) Net Non-Performing Loans and Advances(c-d)	**81,694,766**	**49,036,433**	**45,733,036**	**24,634,022**	**11,078,086**	**10,909,795**	**10,368,498**	**10,799,558**					**93,955,523**	**62,001,146**	**57,822,296**	**36,786,180**
f) Discounted Value of Securities	66,859,940	44,761,576	40,764,309	22,558,614	10,863,989	10,733,780	10,239,577	10,736,740					78,243,620	59,586,869	61,440,544	40,915,466
g) Net NPLs Exposure (e-f)	**14,834,826**	**4,274,857**	**4,968,727**	**2,075,408**	**214,097**	**176,015**	**128,921**	**62,818**					**15,711,903**	**2,414,277**	**(3,618,248)**	**(4,129,286)**
2. INSIDER LOANS AND ADVANCES																
a) Directors, Shareholders and Associates	1,749,235	1,717,455	1,635,949	2,646,847	26	19	18	21					1,228,982	1,194,696	1,209,693	1,721,790
b) Employees	14,684,613	14,605,949	14,660,678	14,590,818	5,690,401	5,798,601	5,845,656	5,905,135					22,467,161	22,456,920	22,751,338	21,857,065
c) Total Insider Loans and Advances and other facilities	**16,433,848**	**16,323,404**	**16,296,627**	**17,237,665**	**5,690,427**	**5,798,620**	**5,845,674**	**5,905,156**					**23,696,143**	**23,651,616**	**23,961,031**	**23,578,855**
3. OFF-BALANCE SHEET ITEMS																
a) Letters of credit,guarantees, acceptances	112,856,455	112,478,087	74,967,657	54,260,469	2,919,316	3,888,837	4,514,574	4,798,015					132,251,287	130,246,242	91,241,390	67,896,346
b) Forwards, swaps and options	8,674,370	14,005,698	20,040,940	22,833,969	5,335,040	6,939,528	5,204,900	4,967,095					16,230,554	22,703,205	26,997,359	29,354,926
c) Other contingent liabilities	-	-	-	-	-	-	-	-					-	-	-	-
d) Total Contingent Liabilities	**121,530,825**	**126,483,785**	**95,008,597**	**77,094,438**	**8,254,356**	**10,828,365**	**9,719,474**	**9,765,110**					**148,481,841**	**152,949,447**	**118,238,749**	**97,251,272**
4. CAPITAL STRENGTH																
a) Core capital	**108,724,207**	**112,443,731**	**107,656,861**	**108,822,121**	**9,893,394**	**10,172,212**	**10,288,488**	**6,164,098**					**156,905,908**	**166,342,570**	**156,347,528**	**149,736,053**
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000					1,000,000	1,000,000	1,000,000	1,000,000
c) Excess (a-b)	**107,724,207**	**111,443,731**	**106,656,861**	**107,822,121**	**8,893,394**	**9,172,212**	**9,288,488**	**5,164,098**					**155,905,908**	**165,342,570**	**155,347,528**	**148,736,053**
d) Supplementary Capital	**32,788,397**	**28,010,113**	**28,966,763**	**23,344,188**	**1,349,885**	**1,322,539**	**1,316,500**	**4,368,809**					**34,796,121**	**30,947,172**	**31,578,757**	**27,139,578**
e) Total Capital (a+d)	**141,512,604**	**140,453,844**	**136,623,624**	**132,166,309**	**11,243,279**	**11,494,751**	**11,604,988**	**10,532,907**					**191,702,029**	**197,289,742**	**187,926,285**	**176,875,631**
f) Total risk weighted assets	**724,881,775**	**717,209,325**	**676,510,775**	**655,621,593**	**83,979,672**	**81,791,952**	**81,308,855**	**78,422,698**					**885,499,650**	**864,249,585**	**866,573,168**	**805,999,040**
g) Core Capital/Total deposits Liabilities	**15.8%**	**17.5%**	**17.1%**	**18.1%**	**8.4%**	**9.8%**	**9.1%**	**5.7%**					**17.3%**	**19.7%**	**18.7%**	**19.0%**
h) Minimum statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%					8.0%	8.0%	8.0%	8.0%
I) Excess	**7.8%**	**9.5%**	**9.1%**	**10.1%**	**0.4%**	**1.8%**	**1.1%**	**-2.3%**					**9.3%**	**11.7%**	**10.7%**	**11.0%**
j) Core Capital / total risk weighted assets	**15.0%**	**15.7%**	**15.9%**	**16.6%**	**11.8%**	**12.4%**	**12.7%**	**7.9%**					**17.7%**	**19.2%**	**18.0%**	**18.6%**
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%					10.5%	10.5%	10.5%	10.5%
l) Excess (j-k)	**4.5%**	**5.2%**	**5.4%**	**6.1%**	**1.3%**	**1.9%**	**2.2%**	**-2.6%**					**7.2%**	**8.7%**	**7.5%**	**8.1%**
m) Total Capital/total risk weighted assets	**19.5%**	**19.6%**	**20.2%**	**20.2%**	**13.4%**	**14.1%**	**14.3%**	**13.4%**					**21.6%**	**22.8%**	**21.7%**	**21.9%**
n) Minimum statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%					14.5%	14.5%	14.5%	14.5%
o) Excess (m-n)	**5.0%**	**5.1%**	**5.7%**	**5.7%**	**(1.1%)**	**(0.4%)**	**(0.2%)**	**(1.1%)**					**7.1%**	**8.3%**	**7.2%**	**7.4%**
p) Adjusted Core Capital/Total Deposit Liabilities*	**15.9%**	**17.6%**	**17.2%**	**18.2%**	**8.6%**	**9.9%**	**9.2%**	**5.9%**					**17.3%**	**19.7%**	**18.8%**	**19.2%**
q) Adjusted Core Capital/Total Risk Weighted Assets*	**15.1%**	**15.8%**	**16.0%**	**16.7%**	**12.0%**	**12.6%**	**12.9%**	**8.1%**					**17.8%**	**19.3%**	**18.1%**	**18.7%**
r) Adjusted Total Capital/Total Risk Weighted Assets*	**19.6%**	**19.7%**	**20.3%**	**20.3%**	**13.6%**	**14.3%**	**14.5%**	**13.7%**					**21.7%**	**22.9%**	**21.8%**	**22.0%**
5. LIQUIDITY																
a) Liquidity Ratio	**35.0%**	**33.1%**	**35.0%**	**35.1%**	**47.3%**	**35.4%**	**41.7%**	**46.6%**					**39.0%**	**36.9%**	**39.1%**	**40.1%**
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%					20.0%	20.0%	20.0%	20.0%
c) Excess (a-b)	**15.0%**	**13.1%**	**15.0%**	**15.1%**	**27.3%**	**15.4%**	**21.7%**	**26.6%**					**19.0%**	**16.9%**	**19.1%**	**20.1%**

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Kshs '000	Share premium Kshs '000	Revenue and other reserves Kshs '000	Non Controlling Interest Kshs '000	Total Kshs '000
At 1 January 2022	**3,213,463**	**27,690,149**	**140,809,586**	**1,794,409**	**173,507,607**
Profit for the year	-	-	19,521,783	124,848	19,646,631
Other comprehensive income net of tax	-	-	732,116	-	732,116
Equity transactions with non controlling interest				717,238	717,238
Dividend paid in the year	-	-	(12,853,852)	-	(12,853,852)
At 30 June 2022	**3,213,463**	**27,690,149**	**148,209,633**	**2,636,495**	**181,749,740**

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	30-Jun-2022 Un-audited Kshs '000	31-Dec-21 Audited Kshs '000	30-Jun-2021 Un-audited Kshs '000
Cashflows generated from / (used in) operating activities	7,922,955	8,991,000	19,871,818
Cashflows used in investing activities	(3,037,677)	(8,615,000)	(3,047,171)
Cash flows used in financing activities	(1,800,377)	(7,521,000)	(8,985,000)
Net Increase / (decrease) in cash and cash equivalents	**3,084,901**	**(7,145,000)**	**7,839,646**
Cash and cash equivalents at period start	58,029,000	65,174,000	65,174,000
Cash and cash equivalents at period end	**61,113,901**	**58,029,000**	**73,013,646**

Message from the Directors

The above financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.kcbgroup.com They may also be accessed at the institutions Head Office located at Kencom House, Moi Avenue, Nairobi, Kenya.

The financial statements were approved by the Board of Directors on Wednesday 24 Aug 2022, and signed on its behalf by: **Andrew W. Kairu –** Group Chairman | **Paul Russo** – Group Chief Executive Officer

Regulated by Central Bank of Kenya.